

Fearnleys Dry Bulk Weekly

Oct 9, 2024

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Capesize/Newcastlemax

October is usually a weak month, and it seems this year will be no exception.

The market development could be recoupling with China's imported iron ore consumption change, after having "out-performed" it since late August (bottom right chart). This indicator suggests a bottom around the end of this month.

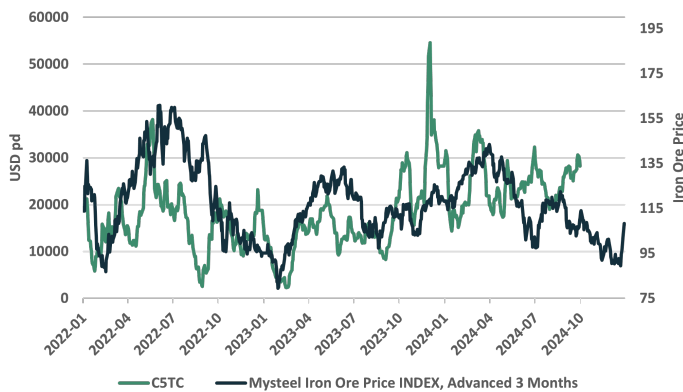
Capesize / Newcastlemax Heading to Brazil



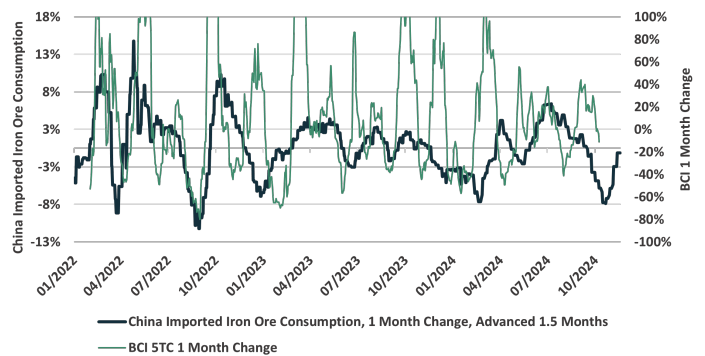
OECD Economic Indicator - China vs Capesize 1 Year TC YoY Change



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC

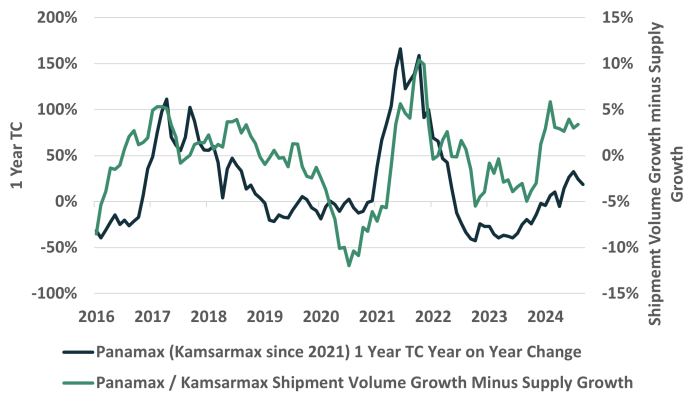


Panamax/Kamsarmax

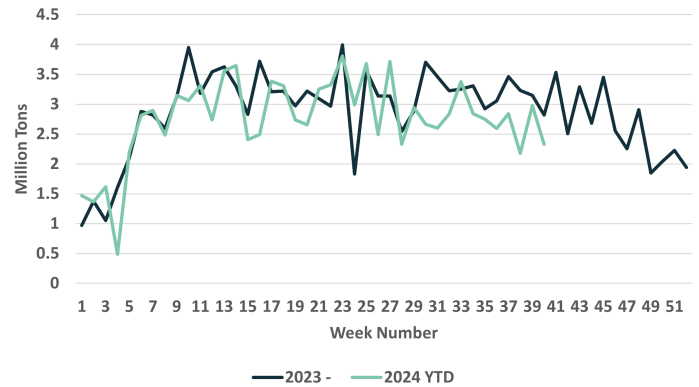
There will not likely be any significant improvement for the remainder of the year.

- Soy and Maize exports from Brazil have been lower than last year since June. As a result, forecasts by IGC and USDA have been lowered.
- Industrial demand in Europe remains very weak.
- India's coal imports are in a seasonally stronger period now, but it does not seem like demand will be unusually high.
- China is still importing more coal than last year.
- US grain exports are underway, and not yet at the peak. Forecasts by the IGC and USDA are for higher exports than last year, but only slightly so.

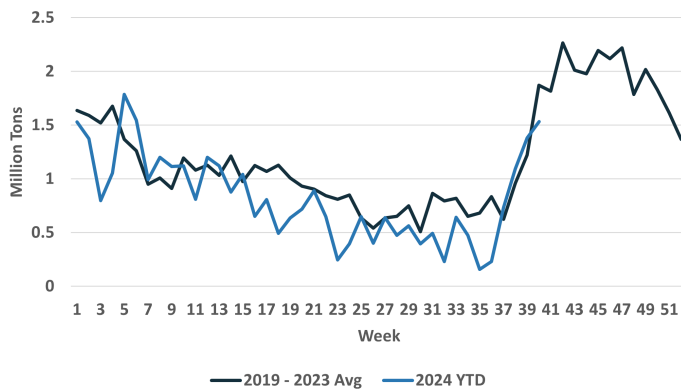
Panamax / Kamsarmax Shipment Volume Growth minus Supply Growth vs 1 Year TC YoY



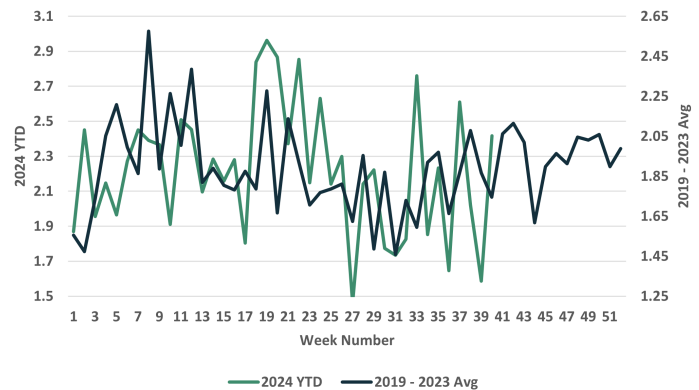
Panamax / Kamsarmax Brazil Grain Exports - 2024 vs 2023



Panamax / Kamsarmax US Grains Exports Seasonal Average vs 2024



Panamax / Kamsarmax - India Coal Imports Seasonality vs 2024



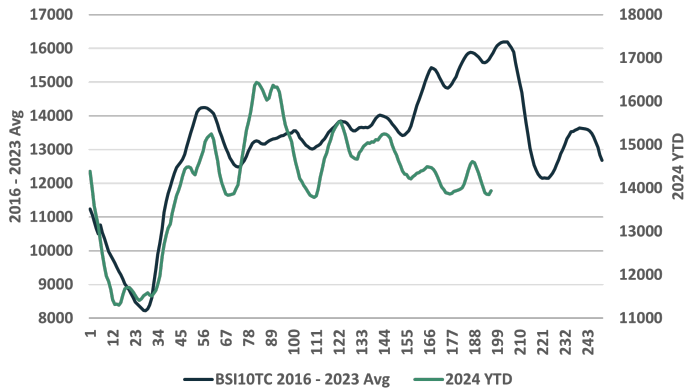
Supramax/Ultramax

The headline market fundamentals remain firmly positive, and the market is higher than in the same period last year, but only just so.

- The weaknesses in the Panamax / Kamsarmax segment are suppressing this segment.
- The prices of industrial metals are not suggesting imminent improvement (nor imminent weakening).
- Direction-wise, seasonality has been followed closely all year, although levels have been lower than what that suggested in the last two months. Seasonality suggests this week and the next could be an uptrend, before another downturn until mid/late November.



Supramax Seasonal Market Movement



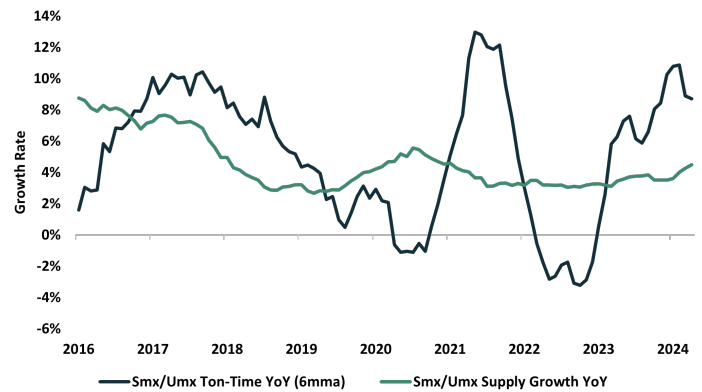
Supramax 1 Year TC YoY



Supramax Spot YoY



Supramax / Ultramax Market Balance





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